

In the world of AI, it seems that 2025 is the year of the AI Agent.

New agentic workflows and models are released all the time,

often accompanied by breathless declarations on social media that a task that previously required human expertise

has now been entirely automated by the latest agentic breakthrough.

But can you distinguish a simple reflex agent from an advanced learning agent?

You see agents are classified based on their level of intelligence,

based on their decision-making processes and how they interact with their surroundings to reach wanted outcomes.

So let's explore the five main types of AI agents to understand what they can and cannot do.

Simple Reflex Agent

Now a simple reflex agent that is the most simple type of AI agent,

the most basic type, and it follows predefined rules to make decisions like a thermostat.

It turns on the heat when the temperature drops below a predefined threshold and then it turns it off again when a set temperature is reached.

So let's break it down.

We've got our agent here.

Now the the environment over here that's the external world that the agent is embedded into and it next to.

Then we've got precepts.

These are the perceived input from the environment as measured through sensors.

Then these sensors feed the precept into the internal logic of the agent

which gives us a representation of what the world is like now,

and knowing what the world is like now we can use condition action rules as the core logic of these simple reflex agent.

Now, these are rules that follow an if condition.

Then action structure.

So if the temperature drops to 18 Celsius then turn on the heat.

That's executed by actuators and that results in an action.

The output behavior by the agent and that action affects the environment which in turn affects the next set of precepts and around and around we go.

Simple reflex agents like this are effective in structured

and predictable environments where the rules are well defined, but dynamic scenarios?

They can trip these agents up,

and because they don't store past information, they can repeatedly make the same mistakes

if the predefined rules are insufficient for handling new situations.

Model-Based Reflex Agent

All right, well how about this one?

This is called a model based reflex agent.

So this is a more advanced version of the the simple reflex agent,

and it uses condition action rules to make decisions as well but,

it also incorporates an internal model of the world and that's stored in the state component and that state component is updated by observing how the world actually evolves.

Essentially how the environment changes from one state to another.

The agent also tracks how its own actions affect the environment.

That's what my actions do.

And all of this is used instead of just taking the raw precepts data for decision making.

So take a robotic vacuum cleaner for example.

The internal state that remembers where it's been and what areas are clean and where the obstacles are.

It knows that if it moves forwards, it changes its location and that action has consequences.

And it has condition-action rules, like if I think I'm in a dirty area and I haven't cleaned it yet, then vacuum it.

It doesn't just react to what it immediately sees, it infers and it remembers parts of the environment it can't currently observe.

That's model-based reasoning in action.

Goal-Based AI Agent

now a goal-based AI model that is building on top of the model-based agent by adding decision-making that's based on goals.

So we don't have any more condition action rules, we have goals, and they represent the desired output the agent is trying to achieve.

So the agent uses its model, that's how the world evolves and what my actions do, to simulate future outcomes of possible actions, essentially predicting what will it be like if I do action A.

Now that's a shift in decision making.

The agent isn't just asking what action matches this condition,

it's now asking what actually will help me achieve my goal based on the current state and predicted future.

So consider a self-driving car.

If the goal is to get to destination X, It'll consider its state, which is, I'm on Main Street.

It will then generate a prediction.

If I turn left, I'll head towards the highway, and it'll ask, will that help me reach destination X?

And if the answer is yes, then the action will be to turn left.

Goal-based agents are widely used in robotics and simulations where a clear objective is set and adaptation to the environment is required.

Utility Based AI Agent

Now a utility-based agent looks like this.

And it considers not just if a goal is met, but how desirable different outcomes are.

So utility here represents a happiness score or a preference value for a particular outcome.

So for each possible future state, the agent asks how happy will I be in such a state or really the expected utility of the future state.

And this lets it rank options, not just pick anything that meets the goal.

So consider an autonomous drone delivery.
The goal-based version might be to use a goal of deliver the package to address X, and it chooses an action that completes that goal. Doesn't matter if it gives you a bumpy energy-wasting route, but a utility-based person, that might instead be something like deliver the packages quickly and safely and with minimum energy usage, whereby now the drone simulates multiple paths, it estimates things like duration and battery level and weather, and it picks the route that maximizes its utility score. That's AI agent number four.

Learning AI Agent

Now, the fifth agent is the most adaptable and also the most powerful and it is the learning agent. So rather than being hard coded or being goal driven, it learns from experience. It improves its performance over time by updating its behavior based on feedback from the environment. So how does it work? There's a critic component and that observes the outcome of an agent's actions via the sensors and it compares them to a performance standard. Now that gives us a numerical feedback signal that's often called a reward in reinforcement learning and this reward is then passed to a learning element that updates the agent's knowledge using the feedback from the critic. Its job here is to improve the agents mapping from states all the way through to actions. Now the problem generator, that suggests new actions the agent hasn't tried yet, like try a different path, see if it's any faster. And then the performance element selects actions based on what the learning element has determined to be optimal. So think of an AI chess bot, the performance elements that plays the game using current learn strategies. The critic, you'll see that it lost the match. The learning element adjusts its strategy based on the outcomes of thousands of games and the problem generator suggests new moves that it hasn't explored yet.

Use Cases

So a simple reflex agent reacts. It's fast to execute but it has no memory and it has no understanding of history. A model-based reflex agent, we can really think that the difference there is that that remembers. It does that by tracking state over time. It doesn't plan, it's still reactive. Now a goal-based model, that aims. It aims by using goal-directed behavior but any way of meeting that goal...

Will do.
Whereas, an utility-based agent that takes a different path, it evaluates.
It does that by choosing the best outcome, but requires an accurate utility function to do so.
And then a learning agent that improves by learning from experience, but this can be the slowest and most data intensive process.
Now in many cases, we will want to use multiple agents together.
That is called a multi-agent system.
And that's where multiple agents operate in a shared environment, working in a cooperative way, working towards a common goal.
And as agentic AI continues to evolve, particularly with learning agents that are making uses of advances in generative AI,
AI agents are becoming increasingly adept at handling complex use cases, but it's not really all over for us just yet.
AI agents typically work best with a good old human in the loop.
At least for the time being.

The problem with AI for entrepreneurs

There's so much you can do with AI right now. Chat bots, automation, content creation, customer service, analytics, the list goes on forever. But that's kind of the problem. Most businesses aren't falling behind because they're not using AI. They're falling behind because they're trying to use all of it and getting paralyzed by complexity. So today, I'm showing you the 8020 of AI for business. The handful of use cases and workflows that'll get you ahead of 99% of businesses. You're going to walk away knowing exactly what to implement first and how to get the results this week. In fact, today, not next year. By the way, if you're new here, my name is Rick M already and for the past 11 and a half years, almost 12 years at this point, I've run a multi-figure online business helping other online business

owners grow and scale their business today. And for the past year and a half, I've run an AI community called the AI playbook where I help online businesses leverage AI so that you can streamline your business, become more efficient, and increase profitability in the process. I'll link to the community in the description below. All right, here's the thing that most people get wrong with AI out of the gate. They open up Chat GPT or Claude or Gemini or whatever, type in a question, get a generic response, and then think, AI is not very good. It's not very useful, and I'm done. But here's what they're missing. AI is only as good as the context that you give it. Think about it this way. If you hired a new team member and immediately started asking them to write emails for your business without telling them anything about your business, like your customers, your voice, your goals, what it even is that you do in your business, what kind of results are you going to get from that person, right? Not very good. Well, the same is true for AI. So, the very first thing is teach your AI about you and your business. You've got to give it context about your business. Now, I'm going to show you exactly how to do this. If you're going to be using ChachiBT, sign up for the plus plan. This is the \$20 a month plan at the time recording this. The free plan is way too restrictive for what we're doing here.

The foundation of getting better results from AI

So, here's the context that you want to teach Chacht to make it as useful as possible for you and your specific business and use cases. Number one, you want to tell it who you are and what your business does. What do you sell? How do you sell it? Who your target

audience is and their biggest pain points. What is your tone of voice? What is your writing style? How do you write? How do you sound? What types of words do you use? What types of words do you not want to use? You want to teach it how you make decisions. Are you a fast decision maker? Or are you more methodical? Are you more a pros cons list person? Whatever it is, another thing you want to teach ChachiBT is your business objectives and what is success look like for you and your specific business. And then any specific preferences that you have that you think is important for ChachiBT to know about you that's going to help it give you the best possible output for you. Make sure to teach it that. Now, if you already have a document or documents with all this information in it, you're way ahead of the game already. Brand guide, onboarding doc, perfect, right? You can just upload that directly into ChachiBT. If you're like Rick, I have none of that information. Where do I even start with that? Well, we can use ChachiBT to help us put together that information. So let's go over in the chatbt. I'm putting together a set of custom instructions for chatbt so that it can give me the most helpful outputs possible for me and my specific business. The answers to those questions will be included in the custom instructions. Nothing fancy about this prompt, but I want to see what it's going to do. And you'll notice here, by the way, as it is thinking through that, I always have it on the thinking mode. It just forces chatbt to basically think longer and harder. Okay, in 9 seconds it just says, "Awesome. Let's do a fast but thorough interview." So you can see the type of things that it wants to know. So about you and your business, what's your one sentence positioning? You can

essentially just click in here, click on the voice mode, and then just speak through the answers, and it will then produce custom instructions that you can then go in and paste into essentially the back end, if you will, of chatbt. So, you just go down to your little picture, little icon in the bottom lefthand corner. Go to personalization and then you're going to see custom instructions right here. You can also give it a personality. So, you can choose between default, syncic, robot, listener, nerd. I just have it on default. And then you can go through and answer a little bit more information, more about you. Again, we want to give it as much information as possible so that the answers that it will give you when you're using chatpt are most

Use Case 1 -- Amplifying your content in minutes

helpful to you. All right. Now that you've got that foundation in place, let's talk about a really high impact use case. And this use case is content repurposing without the grind that normally goes into it. So here's what most businesses do. They create one long form piece of content like podcast for example or maybe a YouTube video or what have you. Then it just sort of sits there because the thought of repurposing is exhausting, time intensive, can cost a lot of money if you hire somebody to do it. This is where AI gives you an unfair advantage because what used to take hours can now simply take like 20 minutes and that 20 minutes is spent just reviewing the content that AI has created for you. So here's the workflow that you can use. So you're going to go into Claude and you're going to click on projects. You're going to click on new project. All right. I'm going to click on create project. And now I want to go

to instructions. So this is essentially the prompt uh for this project here. And I'm going to grab the prompt that I have put together for this. And I'm going to click on save instructions. Well, since we want this Claude project to write content for us and repurpose content for us, we want to teach it how we sound, what our writing style and tone of voice is. So, you're going to click on the plus button here. I'm going to click on add content, and I'm just going to say uh writing style. There's my writing style. I'm going to click on add content. Now, I wanted to repurpose a YouTube video transcript. So, I'm going to grab a transcript of one of my YouTube videos. I'm going to paste it in here and I'm just going to say, "Please repurpose the attached YouTube video transcript." And then I can click go. It'll analyze the transcript and then start creating the content that I've asked it to create. All right. And here's the output that it just gave me. You can see here, here's my LinkedIn post right here. Here's my Instagram post that it wrote. Here's my Facebook post. And then here are my two tweets. And just like that, you've got platform specific content that's ready to go. But here's the thing, it doesn't stop, it doesn't have to stop at social posts. You could take that same transcript and tell Claude that you want to turn that transcript into an email for your email list. Now, I want you to turn the transcript into an email for my email list that highlights the three biggest takeaways. And just like that, it's written this email. I can see that it's well written. It does have m dashes in there, so I would correct that. It looks really good. I can even ask it to pull out like 10 quotes from the transcript that we can then put into graphics in

Canva or what have you. All this from one piece of content that you've now created 7 8 n 15 pieces of content and what like 20 minutes of your time. By the way, all the prompts that I'm using in the video here today, I'll link to them. You can go download them. I'll link to it in the description below.

Use Case 2 — Market research in minutes and automating it weekly

Now, let's talk about how to use AI for something that normally would cost thousands of dollars and tons of time to actually do by yourself. and that is you can use AI to do amazing market research, really in-depth, helpful market research. So, I'm back over in chatbt and I'm actually going to show you two different ways to do this. And here's the prompt. I need a comprehensive market research analysis for my niche. And so, now I'm giving it complete instructions. Please analyze and provide detailed insights on the following emerging trends, competitor positioning, etc., etc., etc. So, I want to click on this plus button and I wanted to do deep research. Okay. Hey, and after 21 minutes, 13 sources, and 89 searches, ChachiBT Deep Research has given me this complete report here called AI for online entrepreneurs market research and insights 2025. It's breaking it down by emerging trends, competitor positioning, but again, in like 20 minutes, this is the kind of insight that used to take a market research team weeks to compile, if you will, and you're getting it over lunch. I want to show you another way that you can leverage AI to do market research on a consistent basis and that is using an AI workflow tool. What I like to use is called relay.app. It's super intuitive to use and really, really easy. What

I've done here is I've created a weekly Reddit researcher. Reddit is full of gold nuggets of insights and content ideas for you. So, what I've done here is I want the AI workflow every Friday morning at 8 a.m. I want it to go search the B2B marketing subreddit, but it will then look for certain post based on certain keywords that you give it. Whatever it is that you want to be searching for, it'll find it for you. And then you can have, in this case here, it's chatgpt. You tell it given Reddit research from the past week, please write a detailed report. And then you can have that report sent to you. In this case here, it's being emailed. Now you have a complete weekly report that you didn't have to go do yourself. You didn't have to pay somebody to go do to get awesome, really insightful research for you every single week from Reddit. Okay. The next AI use case that will get you absolutely 99% ahead of other businesses out there with AI is to create yourself a what I like to call a business brain thought partner. AI isn't just for execution. It can be a thought partner for you to help you brainstorm and toss ideas back and forth. One of the most valuable things that I do with AI is to use it to help me see what I can't see myself or I might be missing because when you're too close to your own business, you miss the patterns, the paradoxes, the things that make your approach unique or uncover new revenue opportunities. So, what you're going to

Use Case 3 — Creating a “Business Brain Thought Partner”

do is you're going to go back into Claude. You're going to create a another Claude project. Click on new project and let's call this my business brain thought partner. We're going to paste in

the the instructions for this project here. And by the way, the prompt that I just used very much inspired by Dan Co. The other thing I'd want to do here is I'd want to add contextual relevance about my business about my goals and needs and all that sort of thing into the files here as a knowledgebased file. But let's just say that I'm considering a Substack for my business and I want to talk to Claude about it to see, you know, if this if it thinks it's a good idea. I'm considering starting a Substack for my business and I want to know whether you think this is a good idea. Okay, so I've just spoken that in. Again, it's not a fancy prompt. And let's click go. And so it says, so what are the problems? So it's basically challenging me. So I can just go back and forth and have a conversation here with Claude to come to some sort of resolution. And just like that, I've created a an amazing business brain thought partner that can help me flesh out my ideas that I have for the

Use Case 4 — Clone your expertise with AI and get paid for it

business. All right, for this next use case, this is the ultimate leverage move. Like, you you only have so many hours in a week, right? can only take so many calls, answer so many people's questions, help so many people directly. But what if people could access your knowledge, your IP, your specific coaching 24/7 at 2 in the morning when a problem with their business is keeping them up and they just want to ask you, well, what if you could clone your expertise and then sell it? Well, I use a tool called Coachvox.ai AI where you can train a chatbot essentially on your knowledge, your frameworks, your methodologies and then people can

interact with it just like they're talking to you. I call it PickRix's brain coaching AI and I've had it for two and a half years now and it's part of my AI playbook community. And by the way, I have a member of my AI playbook community who did this for a specific part of her business. She didn't use Coach Fox, but she created her own GBT. She trained it with her IP based on a specific part of her business. She packaged it as a product and made 150 grand in 3 days off of that product. So, what we're looking at here is the back end of Coachbox. This is sort of what the uh chatbot looks like. You can totally embed this with I frame how it's trained. You can see the the knowledge part here. You can upload files and docs and txt files. You can fine-tune it. These are the questions and answers that I've trained it on. I can go into the back end here and look at the types of questions that people are asking. So I can look at how the AI responded, tweak the answer so that the AI is getting smarter and smarter and smarter. So the next time that somebody's asked a similar question, I've already fine-tuned the AI to answer in a better way. And this is what I mean by getting ahead. You're not just using AI to do tasks faster. For example, you're using it in this case here to create an entirely new revenue stream. Right? The

Use Case 5 — Creating custom AI employees

final use case I want to share with you is to create yourself custom AI employee. One AI team member that I want to create, let's just say is an HR agent. So, let's just say you're hiring for a new position and we want the AI to look at the job application, the resume, decide whether this person is right for whatever job that we're hiring for, and

then based on that decision, take a set of actions. So maybe, for example, we want it to respond with an email inviting them to a the next phase. Maybe it's a Zoom call with you. So, we can have it check our Google calendar for our availability. We can have it write the email. We can create a task inside of our project management tool, Notion or ClickUp or what have you. Then we can have it notify you in Slack, for example, that you just got a great applicant. And then on the flip side, for the people that are not good fits for your role, well, you can have the AI send them an email and just tell them that unfortunately they're not a good fit for this current position. And then also send a message to you or your team or what have you in Slack to let them know. I mean, this workflow right here is super easy to set up. Uh, this is actually one of the templates, by the way, inside of relay.app that you can just grab. So, here's another example of an AI team member that I want on my team. This is a LinkedIn content researcher. This is literally a a role here on my team. Every Friday morning at 8 a.m., it goes and researches LinkedIn for a pre-specified list of people. I've given the AI the URLs of their LinkedIn profiles and then it is analyzing the top 10 most engaged content that was written over the past week by those five people, it compiles a report, creates a document, slacks me that report, and then not only can I see the topics that were being discussed and the most highly engaged with over the past seven days, but I also have the AI, in this case here, Claude, analyze the post and tell me why it thinks they are so highly engaged with. So again, this would take me hours or somebody on my team hours to go do themselves. I've created an AI

team member here, a LinkedIn content researcher that does it for me weekly and it happens when I'm sleeping. So

15:13: Leveraging AI for more than just doing “more stuff”

here's the thing. The businesses that are winning right now aren't using AI to quote do more stuff. They're using it to do the right stuff with less effort, which means higher profit margins, better work life balance, and more time to spot the next opportunity that you might be missing in your business. AI handles the execution layer so that you can focus on the highest leverage activities, the things that only you can be doing. And that is how you get ahead of 99% of other businesses out there. Again, if you want the prompts that I talked about in the video here, I'll link to them in the description below. You can go download them. Also, if you're an online business owner and you're looking to leverage AI in your business so that you can work a whole lot less and make more money in your business, I want to invite you to join us inside my AI playbook community. I'll also link to it in the description below. As always, thanks so much for watching today's video.

AI

From Rick Mulready

AI

